AEY

AEY Inc.

Series A investor pitch · Miami Beach · 2007

“Supplying the world’s militaries, one contract at a time.”

AUDITED BY GROUP 6

Every claim checked against MCCJ 527 criminology

A CRIMINOLOGICAL AUDIT OF THE FILM WAR DOGS (2016)

MCCJ 527 Organized Crime and Corruption · Department of Criminology, University of Dhaka

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THE FOUNDERS

Meet the team: two friends from Miami Beach

Efraim Diveroli
Founder & CEO

Early twenties. Learned the arms trade through his uncle's business, then started AEY and bid for Pentagon contracts from his laptop.

David Packouz
Partner

A massage therapist, broke, with a baby on the way. Joins his childhood friend for one reason: the money.

The film: War Dogs (2016), dir. Todd Phillips, with Jonah Hill, Miles Teller, Ana de Armas and Bradley Cooper. Based on Guy Lawson's reporting (2011, 2015).

AUDIT NOTE 01

Audit scope: one question, four tests

Is AEY a business, or organized crime?

1. **Definitions**
   UNTOC Article 2; Abadinsky
2. **Theories**
   Strain, differential association, rational choice, neutralization
3. **Models**
   Hierarchical, patron–client, enterprise, network
4. **Corruption**
   Transparency International; Klitgaard

THE PROBLEM

The Pentagon needs supplies fast, and the giants ignore the small orders

2 wars

Iraq and Afghanistan need weapons and ammunition, fast

Online

Pentagon tenders are posted on a public website

Ignored

Big defence firms skip the small contracts

Our opportunity: win the crumbs, one small contract at a time.

REAL PROBLEM: MOTIVE

AUDIT NOTE 02

The real problem is motive, not supply

Strain and institutional anomie

Merton (1938); Messner & Rosenfeld (1994)

David wants wealth but has no legal way to reach it, so he "innovates". Money starts to override family: he lies to his partner about the work.

Differential association

Sutherland (1947)

Crime is learned in close groups. David learns both the methods and the excuses of the trade from Efraim.

OUR SOLUTION

Bid on the crumbs. Underbid the giants. Deliver, whatever it takes.

1

FIND

Scan the government's public tender website every day

2

UNDERBID

Offer lower prices than the big firms on small orders

3

DELIVER

Get it there, whatever it takes: even driving pistols from Jordan into Iraq

RECKLESS

AUDIT NOTE 03

A calculated gamble on a sliding scale

Rational choice

Cornish & Clarke (1986)

The Jordan run is a calculated gamble: a high reward and risks they judged worth taking. Success rewards the next, bigger risk.

Enterprise model

Smith (1980)

Legal and illegal business sit on one spectrum, shaped by the same market demand. AEY starts legal and slides into the grey.

STRATEGIC SUPPLY PARTNER

Exclusive access to a stockpile in Albania



Henry Girard

International arms supplier

- Access: ~100 million rounds in old Albanian state depots
- Offer: supply for AEY's Afghan contract
- **Status: on a US terrorist watch list; cannot sell to the US himself**

~100M rounds

Enough to supply the whole Afghan contract

RED FLAG

Henry Girard is a composite character inspired by the real broker Heinrich Thomet (Lawson, 2015).

AUDIT NOTE 04

The partner is the network, and the risk

Network model and brokerage

Morselli (2009)

Power belongs to brokers who connect worlds that cannot reach each other: the Pentagon on one side, Balkan stockpiles on the other.

Patron–client model

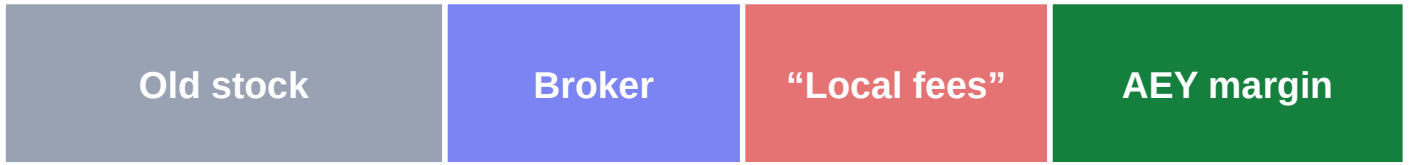
Albini (1971)

Henry trades access to supply for a share of the profit. A watch-listed dealer stays in the market by borrowing a clean company's name.

UNIT ECONOMICS

Buy old stock cheaply, sell at the contract price, keep the margin

CONTRACT PRICE PAID BY THE US ARMY



Old stock	Broker	“Local fees”	AEY margin
Decades-old rounds from state depots	Henry takes his share for access	Officials and middlemen who control the depots	What the founders keep

Bar is schematic, not to scale.

KICKBACKS?

Not in the film: the Gërdec depot explosion near Tirana (March 2008) killed 26 people; officials were charged (Al Jazeera, 2008).

AUDIT NOTE 05

Every link in the chain takes a cut

Corruption
Transparency International (n.d.)

The abuse of entrusted power for private gain: officials profit from controlling access to state stockpiles.

C = M + D − A
Klitgaard (1988)

Monopoly (Henry’s access) plus discretion (officials, fixers) minus accountability (weak wartime oversight) equals corruption.

OPERATIONAL INNOVATION

We modernized the packaging for efficiency

BEFORE

Old wooden crates
Chinese-made rounds, decades old, marked with their country of origin

REPACK

AFTER

New cardboard boxes
Chinese markings removed; delivered to the Army as Albanian

FRAUD

Repackaging is documented in the real case (Lawson, 2015). Excuses in the audit note are our paraphrases.

AUDIT NOTE 06

Not innovation: concealment

White-collar crime and fraud

Sutherland (1940)

Chinese ammunition was banned by a US embargo and by the contract. Hiding its origin is crime by respectable businessmen in the course of their work.

Techniques of neutralization

Sykes & Matza (1957)

“The troops still get working bullets” (denial of injury). “The government buys from shady sources too” (condemning the condemners).

TRACTION

From a Miami apartment to the Afghan army's supplier

$298M

MEETS UN TEST

Afghan National Army ammunition contract, won in 2007

5 countries
US · Jordan · Iraq · Albania · Afghanistan

~100M
rounds sourced from Albania

2 founders
both in their twenties

Contract value: Lawson (2015).

AUDIT NOTE 07

Test 1: the UN definition is met

- **Structured group of 3+ persons**
  Efraim, David, a financier, Henry, suppliers
- **Exists over a period of time**
  Years of contracts, not one deal
- **Commits serious crime**
  Fraud and false statements
- **For financial benefit**
  A $298M contract
- **Transnational**
  Five countries

Organized crime under UNTOC, Article 2

RISK FACTORS

Every startup has risks. Ours are manageable.

RISK FACTOR (AS PITCHED)	WHAT ACTUALLY HAPPENED
Media attention	⚠ A press exposé on AEY's old Chinese ammunition (2008)
Regulatory scrutiny	⚠ The Army suspends AEY; the founders are indicted (2008)
Partner disputes	⚠ Efraim cuts Henry out; the partnership collapses
Legal exposure	⚠ Efraim: 4 years in prison. David: 7 months of house arrest

ALL MATERIALIZED

Sources: Lawson (2015).

AUDIT NOTE 08

Test 2: Abadinsky's attributes, mostly not met

- ✓ No political goals
- ✗ Hierarchy of ranks
- ✗ Limited, exclusive membership
- ✗ Survives its leaders' arrest
- – Violence (only threats, in the film)
- – Monopoly (only one supply route)
- ✗ Explicit rules or code

Not the mafia (Abadinsky, 2013)

COMPETITIVE LANDSCAPE

Our position: a legal front run as a loose network



Positions and fit ratings are the group's assessment.

AUDIT NOTE 09

Which model fits? Enterprise and network

Enterprise
Smith (1980)

Network
Morselli (2009)

Patron–client
Albini (1971)

Hierarchical
Cressey (1969)

Classification: organized white-collar crime, enabled by state–corporate crime (Kramer et al., 2002)

INDEPENDENT AUDITOR'S REPORT ON THE FILM

Qualified opinion: accurate in substance, exaggerated in style

QUALIFIED

BASIS: WHAT THE FILM GETS RIGHT

- Breaks the mafia stereotype: crime as a business with invoices
- Fits the UN definition and the enterprise and network models
- Shows offenders who never see themselves as criminals
- Real facts: the $298M contract, the repacking, the sentences

QUALIFICATIONS: WHAT IT GETS WRONG

- The comedy glamorizes the money and softens the fraud
- Henry Girard is a composite, not a real person
- Blames two young men more than the system that hired them
- Real victims, soldiers and taxpayers, barely appear

FINAL AUDIT OPINION

Do not invest.

AUDIT CLOSED

AEY passed the pitch. It failed the audit.

THE ANSWER

Organized crime under the UN definition, but not the mafia.

THE CLASSIFICATION

Organized white-collar crime, enabled by weak state oversight.

THE LESSON FOR BANGLADESH

Vet contractors, reveal their real owners, and verify where goods come from.

Thank you. *Questions?*